



[Weekly Market Commentary](#)

Dear clients,

In the week since spot bitcoin ETFs began trading on January 11th, they have seen over \$14B of trading volume in aggregate – stabilizing to around \$2B per day or about 15% of global spot BTC volume this week. The spot ETFs have seen an aggregated \$1.2B of net inflows since inception despite capital rotation out of the Grayscale Bitcoin Trust. However, some of this inflow may be rotations from other less efficient bitcoin vehicles rather than entirely new capital. That said, we think that the importance of spot ETFs cannot be overstated and are a key development that lays the foundation for broader market access.

Following the launch of spot ETFs, the basis between CME bitcoin futures and spot prices has also compressed to under 0.5%, and the open interest on CME bitcoin futures has also dropped by more than \$1B from its January 10 peak. With exposure to the spot bitcoin ETFs, we expect the CME bitcoin futures basis to remain relatively subdued going forward as it's no longer necessary for market players to pay a premium for BTC exposure on traditional exchanges. In contrast with bitcoin, open interest on CME ether futures remains near yearly highs, and we expect the basis trade there to continue – at least until spot ether ETFs are approved.

Separately, with the drop in bitcoin dominance and renewed attention on Ethereum, we also look into the economics of Ethereum's layer-2 scaling solutions. In general, L2s earn revenue from user facing transaction fees and incur costs from posting data to the layer-1. L2 profits follow economies of scale and major L2s are currently profitable, though some chains with less activity are barely break even. EIP-4844 in the Dencun upgrade and increased adoption of data availability solutions could reduce layer 1 costs and pressure layer 2 margins in the absence of greatly increased usage. In our view, this could accelerate consolidation in the layer 2 space as smaller solutions may not be economically sustainable.

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Best,
The Coinbase Institutional Team

Weekly Market Call

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